

ENGLISH **LIVE**

34

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 34

15th MARCH, 2017

LIVE
BusinessLine

THURSDAY, MARCH 9, 2017

Canada and beyond

India should keep its trade cards close to its chest in these times of flux

It is a reflection of the state of flux in world trade, post-Trump, that Canada should be making a pitch to expand both trade and investment ties with India. While Canada is the world's tenth largest economy, a member of the G-8 and a major agriculture, food processing and energy powerhouse, its bilateral goods trade with India is a piffling \$7 billion, more or less evenly balanced. Canada's direct investment in India is less than a billion dollars, whereas India's investments in Canada are above \$3 billion. Yet, Canada has said that it would like to expand its footprint in India and seal a trade and investment pact. Its optimism also stems from its recent success in finalising a trade deal with the European Union, coinciding with the virtual demise of the US-EU Trans Atlantic Trade and Investment Partnership. Under this, the EU will eliminate tariffs on most of Canada's exports, while Canada in exchange will offer more free access for people, obviously 'trumping' the US here. However, it has its own share of headaches to deal with, emanating from across the border. The US is Canada's largest trading partner, their mutual merchandise trade amounting to \$575 billion, with a trade deficit of \$5 billion in Canada's favour; in the case of services, the US holds the advantage in about \$90 billion bilateral trade. But there is a cloud of uncertainty arising out of the Trump administration's stated 'trade policy agenda', which does not take a kind view of NAFTA. Canada is obviously exploring options in this context.

Canada is playing a hard dealmaker, pushing for international arbitration platforms. There is no need for India to rush into a knee-jerk response. Its model Bilateral Investment Treaty makes its policy transparent for the stakeholders concerned. The Centre should adopt a consultative approach so that the mistakes of earlier FTAs are not repeated. Rather, the focus should be on enhancing ease of doing business, and trade facilitation measures as agreed to in the Bali Ministerial of the WTO. India also needs to work out its negotiating strategy in RCEP and the WTO. The US trade agenda warns that "The Trump Administration will use all (emphasis added) possible leverage to encourage other countries to give US producers fair, reciprocal access to their markets." Simply put, this could translate into pressure to dilute intellectual property rights and eliminate, as opposed to reduce, tariffs. Barriers to trade in digital data and services are an area of interest to the US. With TPP no longer in the picture, India's negotiating position in RCEP could improve. It should not flinch from seeking market access in services in exchange for more free tariff lines.

Global trade is a win-win game in principle, provided the actors play by the rules. Unless the political and economic contours of a new trade regime become clearer, India should not make precipitate moves on the world trade chessboard.



DISCUSSION ON 15th March (Today)



DISCUSSION ON 16th March (tomorrow)

THE HINDU
BusinessLine
9th March, 2017
BusinessLine

TUESDAY, MARCH 14, 2017

Wealthy and wise

An accredited investor framework is desirable. Financial awareness, rather than networth is essential to invest in risky alternate assets

Globally, financial products are acquiring greater sophistication with interconnected markets and digital innovation, but regulators are finding it difficult to keep up. The big dilemma for financial regulators is how they can shield uninformed investors from the risks of new asset classes, while still enabling innovative forms of fund-raising for firms. Therefore, it is good to see SEBI exploring the concept of 'accredited investors' for alternative assets in the Indian market. By allowing retail investors to formally validate their financial awareness, the process of accreditation ensures that the eligibility criteria for participating in high-risk, high-return assets are based more on financial savvy, than on networth.

Protecting the 'small' investor has been the cornerstone of India's securities market laws for many years. And SEBI regulations now rely solely on ticket size to sift retail investors in riskier assets such as SME public offers, portfolio management services, venture funds and angel funds. However, the definition of 'small' investor is fluid – while a minimum ₹1-lakh subscription is needed for an SME IPO, the bar is at ₹1 crore for private equity or angel funds. The many securities scams have also shown us that not all wealthy investors are well-informed. Many high networth investors lost money in collective investment schemes, NSEI and art funds. In contrast, many less-affluent investors are financially savvy and may be keen to participate in equity crowd-funding, or create wealth through portfolio management services or SME IPOs. The 'accredited investor' dispensation prevalent in markets such as the US and Europe addresses this dichotomy by using wealth and knowledge criteria to screen expert investors. In the US, investors with annual incomes of \$200,000 or investible networth of \$1 million can apply for accreditation. In the UK, investors have to self-certify income and financial awareness. Drawing from different regimes, the Narayana Murthy committee on alternative investments (November 2016) has suggested a ₹50-lakh annual income for three out of the last five years, registration with the tax department, and an online test on financial markets for investor accreditation in India. This is under examination by SEBI. Once it is in place, SEBI can use this framework not only to enable alternative investments, but also to clarify the regulatory regime for unregulated vehicles such as crowd-funding and peer-to-peer lending.

While using qualitative and quantitative criteria to accredit investors is a good approach, SEBI should collate more data on the actual income distribution in India before setting the income bar at ₹50 lakh. Given that only 42,800 people have declared incomes of over ₹1 crore, there is the risk of the financial bar for accreditation again being set too high. In fact, only recently the SEC chairman argued for diluting the accreditation criteria in the US on the grounds that all investors deserved "equality of opportunity" in exploring new assets that can expedite their wealth creation efforts. More money should not be necessary to make more money.

THE HINDU
BusinessLine
14th March, 2017

LIVE
BusinessLine

THURSDAY, MARCH 9, 2017

Canada and beyond

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Canada is playing a hard dealmaker, pushing for international arbitration platforms. There is no need for India to rush into a knee-jerk response. Its model Bilateral Investment Treaty makes its policy transparent for the stakeholders concerned. The Centre should adopt a consultative approach so that the mistakes of earlier FTAs are not repeated. Rather, the focus should be on enhancing ease of doing business, and trade facilitation measures as agreed to in the Bali Ministerial of the WTO. India also needs to work out its negotiating strategy in RCEP and the WTO. The US trade agenda warns that "The Trump Administration will use all (emphasis added) possible leverage to encourage other countries to give US producers fair, reciprocal access to their markets." Simply put, this could translate into pressure to dilute intellectual property rights and eliminate, as opposed to reduce, tariffs. Barriers to trade in digital data and services are an area of interest to the US. With TPP no longer in the picture, India's negotiating position in RCEP could improve. It should not flinch from seeking market access in services in exchange for more free tariff lines.

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Canada and beyond

THE HINDU
BusinessLine
9th March, 2017

Canada and beyond

- India should *keep its trade cards close to its chest* in these times of *flux*
- It is a reflection of the state of flux in world trade, post-Trump, that Canada should be *making a pitch* to expand both trade and investment ties with India.
- While Canada is the world's tenth largest economy, a member of the G-8 and a major agriculture, food processing and energy powerhouse, its *bilateral* goods trade with India is a *piffling* \$7 billion, more or less evenly balanced. Canada's direct investment in India is less than a billion dollars, whereas India's investments in Canada are above \$3 billion.
- Yet, Canada has said that it would like to expand its *footprint* in India and seal a trade and investment pact. Its *optimism* also *stems* from its recent success in finalising a trade deal with the European Union, coinciding with the *virtual demise* of the US-EU Trans Atlantic Trade and Investment Partnership.
- Under this, the EU will eliminate *tariffs* on most of Canada's exports, while Canada in exchange will offer more free access for people, obviously 'trumping' the US here. However, it has its own share of headaches to deal with, *emanating* from across the border. The US is Canada's largest trading partner, their mutual *merchandise trade* amounting to \$575 billion, with a trade deficit of \$15 billion in Canada's favour; in the case of services, the US holds the advantage in about \$90 billion bilateral trade.
- But there is a cloud of uncertainty arising out of the Trump administration's stated 'trade policy agenda', which does not take a kind view of *NAFTA*. Canada is *obviously* exploring options in this context.
- Canada is playing a hard dealmaker, pushing for international *arbitration* platforms. There is no need for India to rush into a *knee-jerk response*.
- Its model Bilateral Investment Treaty makes its policy *transparent* for the *stakeholders* concerned. The Centre should adopt a consultative approach so that the mistakes of earlier FTAs are not repeated. *Rather*, the focus should be on enhancing ease of doing business, and trade facilitation measures as agreed to in the Bali Ministerial of the WTO. India also needs to work out its negotiating strategy in RCEP and the WTO.
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LIVE

BusinessLine

9th March 2017

Canada and beyond

India should *keep its trade cards close to its chest* in
these times of *flux*

Keep its cards close to its chest

*During the time of elections
political parties normally **keep**
their cards close to their chest till
the last moment.*



Keep its cards close to its chest

To keep intended actions secret

Flux

Subsequent to the global financial crisis of 2008, several economies are in a state of **flux**.

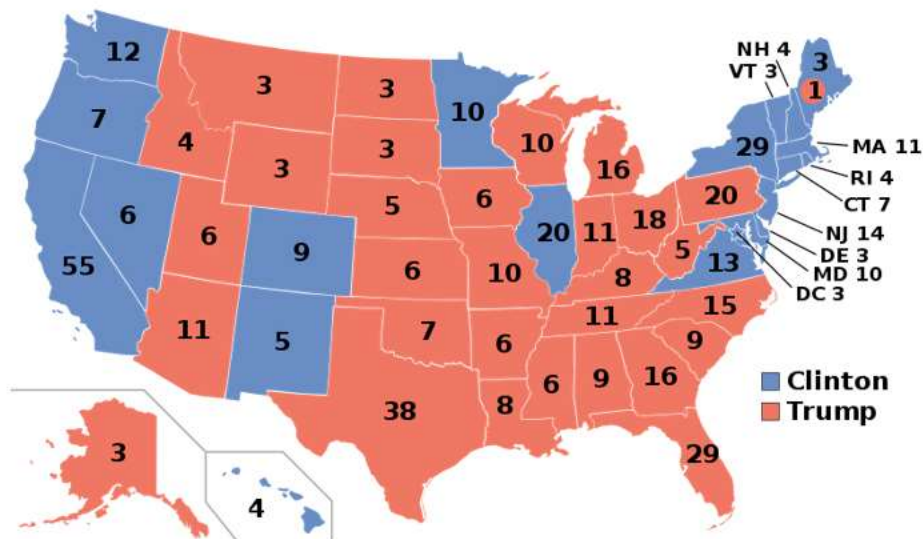


Flux

Continuous change / instability

Flux

The global trade is in a state of **flux** subsequent to the victory of Donald Trump.



Donald Trump
President of the USA

Flux

Continuous change / instability

Canada and beyond

It is a reflection of the state of flux in world trade, post-Trump, that Canada should be *making a pitch* to expand both trade and investment ties with India.

Making a pitch

Opposition parties and civil society groups are **making a pitch** for Special Category Status to Andhra Pradesh.



Making a pitch

Say or do something in support of someone or something

Canada and beyond

While Canada is the world's tenth largest economy, a member of the G-8 and a major agriculture, food processing and energy powerhouse, its *bilateral* goods trade with India is a *piffling* \$7 billion, more or less evenly balanced. Canada's direct investment in India is less than a billion dollars, whereas India's investments in Canada are above \$3 billion.



*Indus Water Treaty is the **bilateral** water treaty between India and Pakistan.*

Bilateral



*These are **multilateral** financial institutions.*

Multilateral

Piffling

- India has got a lot of opportunities and considered to be the country with demographic dividend, but its trade with several countries is abysmally low.
A case in point is **piffling** trade of just \$ 7 billion with Canada.



India



Canada

Piffling

Extremely small or not that important

FOREIGN PORTFOLIO INVESTMENTS (FPIs)



USA



Capital flows



- Hot money
- Passive investment
- Highly volatile / not stable
- Investments in financial assets
- Can come and go at any time
- Asset bubbles / asset crashes
- Currency appreciation / depreciation
- Developing countries are affected

FOREIGN PORTFOLIO INVESTMENTS (FPIs)

EXCESSIVE CAPITAL FLOWS



USA



EU



Capital flows

1 Asset bubbles

2 Appreciation in currencies

1



2



FOREIGN PORTFOLIO INVESTMENTS (FPIs)

CAPITAL FLIGHT



USA



EU



Capital flight

1



1

Asset crashes

2

Depreciation in currencies

2



FOREIGN DIRECT INVESTMENTS (FDIs)



Mercedes-Benz



Japan

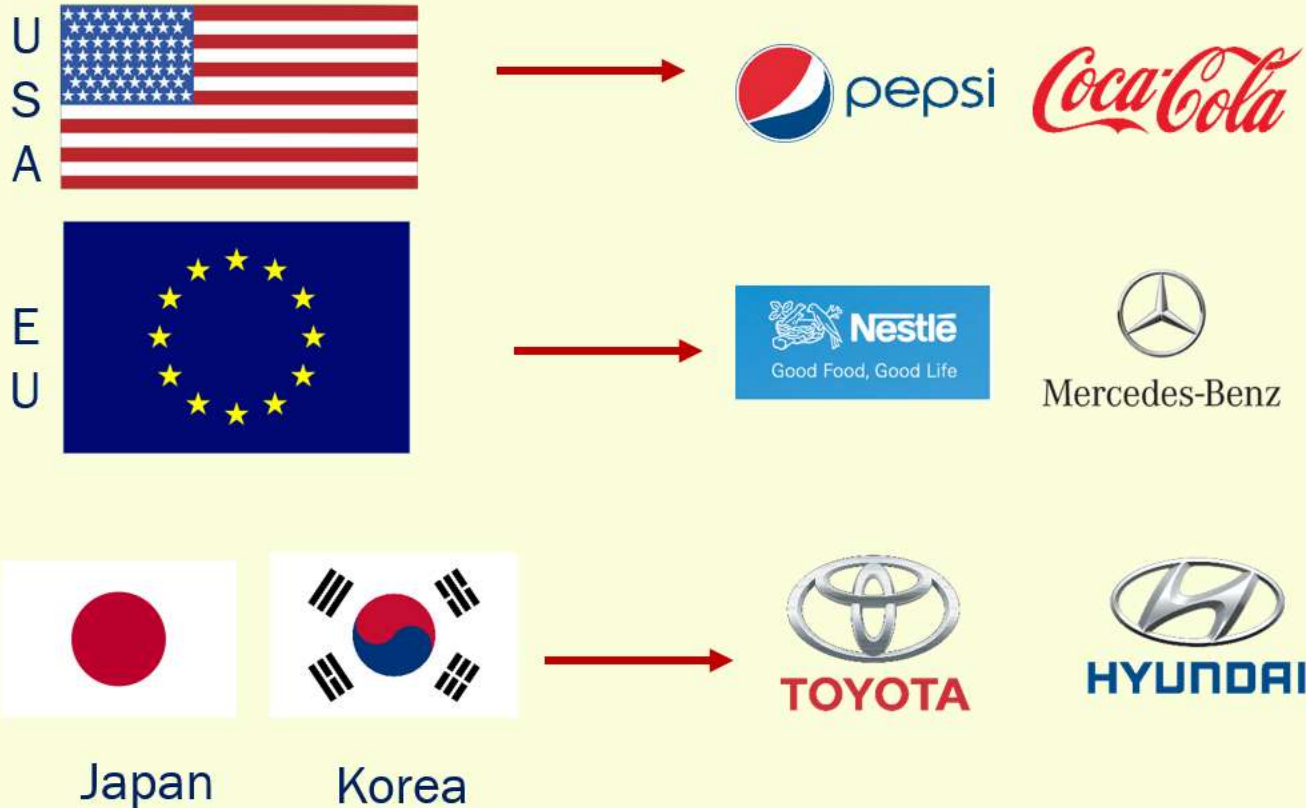


Korea



HYUNDAI

FOREIGN DIRECT INVESTMENTS (FDIs)



- Stable, long term
- Stays on for longer time, not easy to exit
- Interest to establish enterprise
- Creates jobs
- Comes with modern technology
- Aids in GDP
- Invests in physical assets
- Countries with stable policy and conducive environment attracts FDI

Canada and beyond

Yet, Canada has said that it would like to expand its **footprint** in India and seal a trade and investment pact. Its **optimism** also **stems** from its recent success in finalising a trade deal with the European Union, coinciding with the **virtual demise** of the US-EU Trans Atlantic Trade and Investment Partnership.

Footprint



Footprint



*Telecom giant, Airtel
stated that it would like
to grow its global
footprint.*

Footprint

*It is the effect that something
will have*

Optimism

The talks were successful
and there was all-round
optimism with regard to
ending civil war in Syria



Optimism

Hope and confidence about the future or the success of something

Stems from the fact

His fear of water
stems from an
incident during
his childhood.



Stems from the fact

To start or develop as a result of something

Virtual



6 years of civil war
brought Syria into **virtual**
collapse of its economy

Virtual

Almost



Advent of information and
communication technology
resulted in **virtual** means of
doing business

Virtual

Something which can be
seen by using computer /
smartphone etc.

Demise



The **demise** of Lehman Brothers during 2008 was sudden and unexpected.

Demise

Death of a person

Demise

The end of something that was previously considered to be powerful, such as a business, industry, or system

Canada and beyond

Under this, the EU will eliminate **tariffs** on most of Canada's exports, while Canada in exchange will offer more free access for people, obviously 'trumping' the US here. However, it has its own share of headaches to deal with, **emanating** from across the border. The US is Canada's largest trading partner, their mutual **merchandise trade** amounting to \$575 billion, with a trade deficit of \$15 billion in Canada's favour; in the case of services, the US holds the advantage in about \$90 billion bilateral trade.

TARIFF BARRIERS

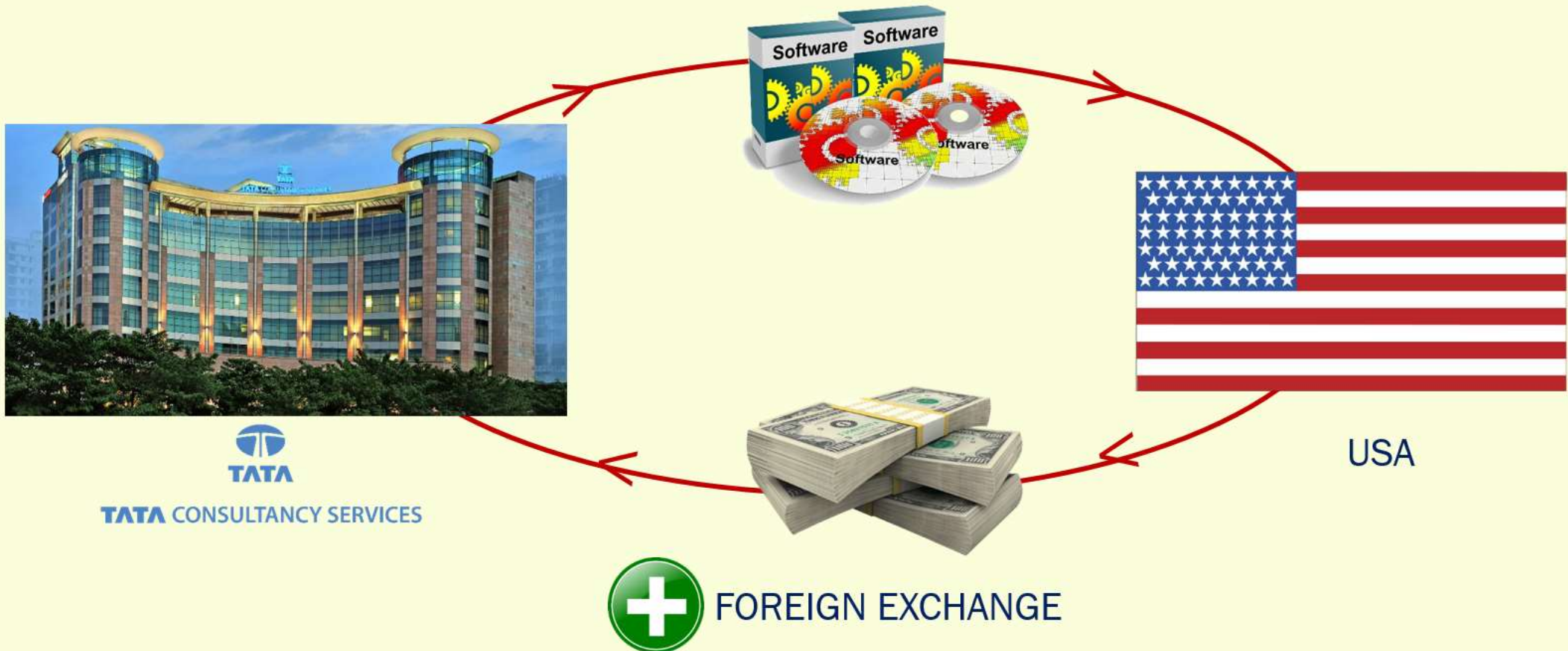
- Various types of Taxes and Duties

NON-TARIFF BARRIERS

- Import bans
- Difficulty in getting import licenses
- General or product-specific quotas
- Complex regulatory environment
- Multiplicity and controls of foreign exchange market

INTERNATIONAL TRADE

EXPORTS

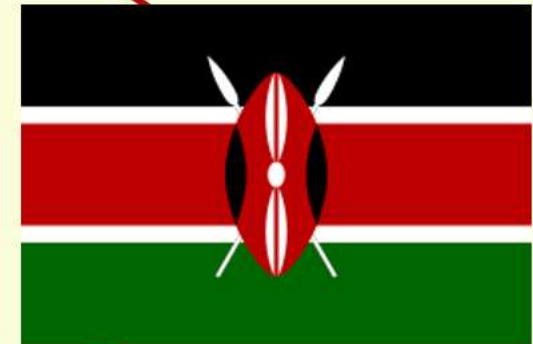


INTERNATIONAL TRADE

EXPORTS



Textile Machinery



Kenya



FOREIGN EXCHANGE

INTERNATIONAL TRADE

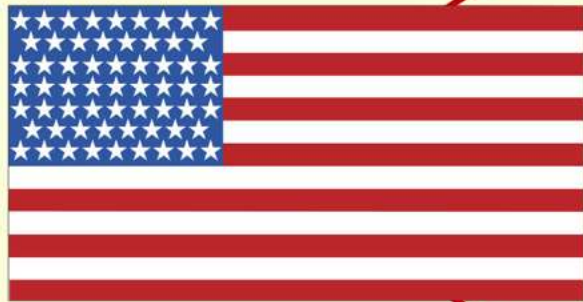
IMPORTS



INTERNATIONAL TRADE

IMPORTS

Software of IoT,
Cloud, Analytics



USA



India



FOREIGN EXCHANGE

Emanate from something

*Angry voices are
emanating from the
Cauvery delta area in
Tamil Nadu in view of
farmers suicides*



Emanate from something

To come out of something or someone

Merchandise trade



Merchandise trade

Merchandise goods

Merchandise goods are the transactions involving the transfer of ownership of a tangible and movable object from a seller to a buyer.

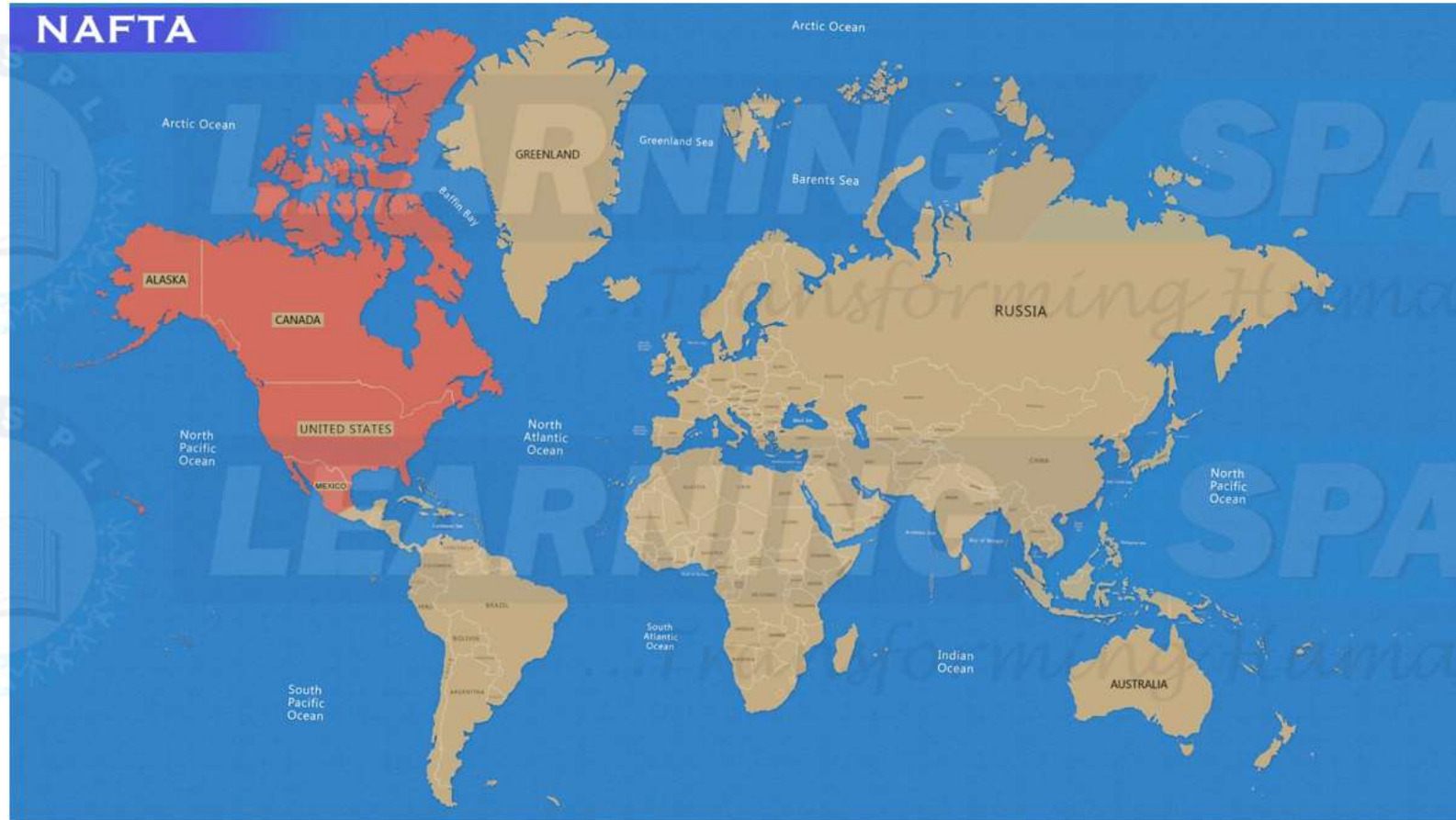


Merchandise goods

Canada and beyond

But there is a cloud of uncertainty arising out of the Trump administration's stated 'trade policy agenda', which does not take a kind view of **NAFTA**. Canada is **obviously** exploring options in this context.

NAFTA



NAFTA

Obviously

*There were celebrations by BJP workers across the country, the **obvious** reason is its massive victory in Uttar Pradesh Assembly elections*



Obviously

In a way that is easily perceived or understood clearly

Canada and beyond

Canada is playing a hard dealmaker, pushing for international *arbitration* platforms. There is no need for India to rush into a *knee-jerk response*.

Arbitration

- *The process by which the parties to a dispute submit their differences to the judgment of an impartial person.*
- *The impartial person or group appointed by mutual consent or statutory provision.*



Arbitration

Knee-jerk reaction

*There was a mass copying in one particular school in the national capital, and in a **knee-jerk reaction** the Delhi government ordered the cancellation of all the examinations.*



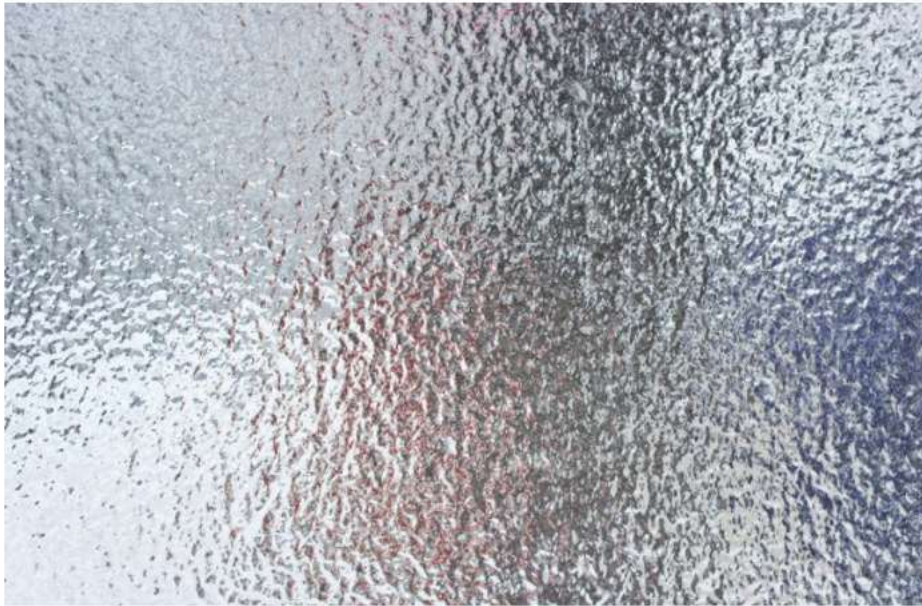
Knee-jerk reaction

Immediate unthinking emotional reaction due to some event or a statement

Canada and beyond

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Opaque



Opaque

Preventing light from travelling through

Transparent



Transparent

One can see through it very clearly

Stakeholders



A person or group of people who own a share in a business.

After the entry of Reliance Jio, now the executives of Airtel and Vodafone need to think about the whole business and how it creates value for the customers and **stakeholders?**



Stakeholders

Stakeholders

Rather



*The train was **rather** crowded.*

Rather

To a slight degree



*Ending the civil war in Syria is not a cause for celebration, but **rather** for regret that why it ever happened at the first instance.*

Rather

Expressing an opposite opinion

Rather than

*I would like to stay at home this evening **rather than** go out.*



Rather than

Instead of, to indicate preference

Canada and beyond

The US trade agenda warns that “The Trump Administration will use *all* (emphasis added) possible **leverage** to encourage other countries to give US producers fair, reciprocal access to their markets.” Simply put, this could translate into pressure to dilute intellectual property rights and eliminate, as opposed to reduce, tariffs. Barriers to trade in digital data and services are an area of interest to the US. With TPP no longer in the picture, India’s negotiating position in RCEP could improve. It should not **flinch** from seeking market access in services in exchange for more free tariff lines.

Leverage

*The organization can reach greater heights, if it makes **leverage** of its resources.*



Leverage

To use an available resource, in order to achieve something new or better

Flinch

*I **flinched** at the unanticipated pain that surfaced suddenly*



Flinch

Small sudden movement, especially when something surprises you or hurts you.

Canada and beyond



Global trade is a win-win game in principle, provided the actors play by the rules. Unless the political and economic **contours** of a new trade regime become clearer, India should not make **precipitate** moves on the world trade chessboard.

Contours

The **contours** of future UK trade with European Union members is not clear till date.



Contours

An outline representing or bounding the shape or form of something

Precipitate

The highhandedness of police on Uighur activists may **precipitate** the crisis.



Precipitate

To make something happen suddenly or sooner than expected

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